

First-Time Homebuyer Readiness Checklist

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Before I bought my first home, I used a simple checklist to see if I was actually ready. This guide is designed to help you evaluate where you stand today and identify the areas that may need improvement before applying for a mortgage.

1. Credit Score

■ *Visual: Checklist item complete*

Know your current credit score. Many loan programs allow approval below perfect credit. A stronger score can improve rates and lower monthly payments.

2. Down Payment

■ *Visual: Checklist item complete*

Estimate how much cash you have available. Some programs allow as little as 3% down. Remember to account for closing costs as well.

3. Debt-to-Income Ratio

■ *Visual: Checklist item complete*

Add up your monthly debts and compare them to your gross monthly income. Lower ratios generally improve approval odds.

4. Stable Income

■ *Visual: Checklist item complete*

Lenders like to see consistent employment and income history. Gather pay stubs, W-2s, and tax returns.

5. Emergency Fund

■ *Visual: Checklist item complete*

Owning a home comes with unexpected expenses. Aim to have cash reserves available after closing.

6. Monthly Payment Comfort Test

■ *Visual: Checklist item complete*

Estimate the full payment including principal, interest, taxes, insurance, HOA, and maintenance.

7. Homeownership Goals

■ *Visual: Checklist item complete*

Make sure you plan to stay long enough for buying to make financial sense compared to renting.

Quick Readiness Scorecard

- ✓ I know my credit score
- ✓ I have a down payment plan
- ✓ My debt is manageable
- ✓ My income is stable
- ✓ I have emergency savings
- ✓ I understand the monthly payment
- ✓ I have a long-term plan

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